

There is a saying in the pharmaceutical industry that, when a truly worthwhile new drug is created, the company that gets in first takes and holds 60 percent of the market, thereby making by far the bulk of the profits. The next company to introduce a competitive version of the same product gets perhaps 25 percent of the market and makes moderate profits. The next three companies to arrive divide perhaps 10 per-cent to 15 percent of the market and earn meager profits. Any further entrants usually find themselves in a quite unhappy position. A trend toward the substitution of generic for trade names may or may not upset these ratios, and in any case there cannot be said to be an exact formula applicable to other industries; nevertheless, the concept behind them should be kept in mind when an investor attempts to appraise which companies have a natural advantage in regard to profitability and which do not.

Lower production costs and greater ability to attract new customers because of a well-recognized trade name are not the only ways that scale can consistently give a company competitive strength. Examining some of the factors behind the investment strength of the soup division of the Campbell Soup Company is illuminating. In the first place, as by far the largest soup canners in the nation, this company can reduce total costs through backward integration as smaller companies cannot. Making many of their own cans exactly to meet their own needs is a case in point. More important, Campbell has enough business so that it can scatter canning plants at strategic spots across the nation, which makes for a sizable double advantage: It is both a shorter haul for the grower delivering his produce to the cannery and a shorter average haul from cannery to supermarket. Since canned soup is heavy in relation to its value, freight costs are significant. This puts the smaller canner with only one or two plants at a big disadvantage in trying to compete in a nationwide market. Next, and probably most important of all, because Campbell's is a recognized product that the customer knows and wants when he enters the supermarket, the retailer automatically awards to it a prominent and fairly sizable area of his always sought-after shelf space. In contrast, he is usually quite reluctant to do as much for a less-known or unknown competitor. This prominent shelf space helps to sell the soup and is still another factor tending to keep the number-one company on top, a factor extremely discouraging for potential competitors. Also discouraging for them is Campbell's normal advertising budget, which adds very much less to the cost per can sold than such a